

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 17-05

CMI DISTRIBUTION, INC.,
COMPLAINANT,

v.

SERVICE BY AIR, INC., RADIANT CUSTOMS SERVICES INC. (FORMERLY KNOWN
AS SBA CONSOLIDATORS, INC.) and LAS FREIGHT SYSTEM LTD.
RESPONDENTS.

CMI DISTRIBUTION INC.'S REPLY TO SBA'S SUPPLEMENTARY MEMORANDUM

CMI responds as follows to Service by Air, Inc. and Radiant Customs Services Inc.'s ("SBA's") unauthorized Supplementary Memorandum Regarding New Legal Development.

SBA's unauthorized filing seeks dismissal of the Complaint at issue on the grounds that the Commission adopted a new interpretive rule requiring that complaints alleging unreasonable acts and practices under Section 10(d)(1) of the 1984 Shipping Act must establish that the practices were not isolated but instead occurred on a customary and continuous basis. Because SBA's filing is baseless, the relief sought should be denied.

First, SBA's Supplementary Memorandum ignores the fact that Complaint at issue seeks relief not only under Section 10(d)(1) (46 U.S.C. § 41102(c)) but also pursuant to 46 U.S.C. §§ 41104(2), 41104, 40501, and 40901. Thus, even if SBA's contentions regarding Section 10(d)(1) had any merit, which they do not, dismissal would be unwarranted.

Further, CMI has alleged, and the unrefuted evidence establishes, that SBA regularly, routinely and continuously defrauded CMI for hundreds of thousands of dollars by falsely imposing and collecting nonexistent "demurrage" charges. These fraudulent practices occurred

on a large number of shipments and for an extended period of time (dating from April of 2014 through July of 2015). Indeed, SBA helped perpetrate its fraud by issuing SBA bills of lading to CMI -- despite the fact that SBA was not a licensed NVOCC -- for at least 28 of the 34 shipments at issue in the proceeding. Under these circumstances for SBA to suggest that its actions were isolated or discrete events and not its regular practice is ludicrous.

Finally, SBA suggests that its actions do not constitute Shipping Act violations because its improper practices were only directed toward CMI. Supplementary Memorandum at page 3. There is, however, no legal (or rational) basis for SBA's radical suggestion that a regulated entity is free to engage in unjust and unreasonable practices on a regular and continuous basis with impunity so long as it only directs its unreasonable practices at one unlucky shipper.

Accordingly, SBAs' unauthorized request for dismissal of the Complaint at issue should be denied.

Dated: February 8, 2019

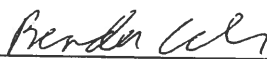
By: Brendan Collins
Brendan Collins
GKG LAW, PC
1055 Thomas Jefferson Street, NW
Suite 500
Washington, DC 20007-4492
Telephone: (202) 342-6793
Facsimile: (202) 342-5299
E-Mail: bcollins@gkglaw.com
Attorney for Complainant, CMI Distribution

CERTIFICATE OF SERVICE

I do hereby certify that a true and correct copy of the foregoing document was delivered to the following addressee at the address stated by electronic transmission, this 8th day of February 2019:

Steven W. Block
Devra Cohen
FOSTER PEPPER PLLC
1111 Third Avenue, Suite 3000
Seattle, WA 98101-3292
Telephone: (206) 447-4400
Facsimile: (206) 447-9700
E-Mail: steve.block@foster.com
Attorney for Respondents Service By Air, Inc. and Radiant Customs Services Inc.

Phyllis Lang
LAS Freight System Ltd.
10th Fl., No. 44, Lane 11 Kuang Fu N. Rd.
Taipei, Taiwan
Tel: +886-2-27690055
Fax: +886-2-27698382
e-mail: info@las-sweg.com
LAS Freight System Ltd.



Brendan Collins